SWRS Southwest Recovery Services

Providing Creative Solutions to Common Problems

WHITE PAPER · COMMERCIAL COLLECTIONS

Reducing DSO in Commercial B2B

How automation and a professional collection agency accelerate cash flow.

In commercial B2B, every day in receivables is working capital you can't use. This paper explains how to lower Days Sales Outstanding (DSO) with automation — and why partnering with a professional collection agency reduces cost while speeding cash conversion.

37.7 days Median DSO across industries (Credit Research Foundation, Q3 2021)	**~61 vs ~30** Business services vs. wholesale non-durables DSO (Oct 2024)	**< 45 days** Common target under standard net-30/45 terms

Older receivables are far less collectible — compressing collection timelines protects liquidity and reduces write-offs.

1) Understanding DSO (and why it matters)

DSO measures how quickly credit sales convert to cash. Lower DSO indicates faster cash conversion and stronger liquidity. Trends matter more than static figures: a rising DSO signals process inefficiency or deteriorating customer credit before it shows up in the bank balance.

2) Metrics that complete the picture (beyond DSO)

Average Days Delinquent (ADD), the Collection Effectiveness Index (CEI), A/R Turnover Ratio, Bad-Debt Ratio, and Aging Distribution are all critical to evaluating collection health. Read together, they separate a timing problem from a credit-quality problem — and point to the right fix.

3) Why companies struggle to collect

Manual billing errors, inconsistent credit policies, poor follow-up cadence, unresolved disputes, and genuine customer financial stress are the leading causes of extended DSO. Most are process failures, not customer failures — which means they are fixable.

4) Automation: the fastest path to lower DSO

Automating A/R compresses cycle time and minimizes errors. Timely invoicing, proactive reminders, “Pay Now” links, AI reconciliation, and centralized dispute resolution reduce delays. Southwest Recovery aligns with advanced A/R stacks (Aktos, Equabli, CollectWise, Accurint) to complement automation — bridging the gap between reminders and resolution.

5) Why a professional collection agency lowers cost and DSO

Outsourcing stalled receivables to a compliant, data-driven agency converts aged A/R to cash while reducing overhead. Southwest Recovery operates on contingency — no recovery, no fee — and reports commercial debts to Experian, Equifax, and Dun & Bradstreet to drive accountability. Skip tracing, credit reporting, and legal-network escalation improve both speed and yield.

Implementation playbook — 90 days to better cash

Weeks 1–2	Map current DSO and standardize terms.
Weeks 3–4	Automate invoicing and reminders.
Weeks 5–6	Score and prioritize risk.
Weeks 7–8	Resolve disputes quickly.
Weeks 9–10	Escalate non-responsive accounts to Southwest Recovery.
Weeks 11–12	Review metrics and lock in improvements.

Turn a common problem into recovered cash.

See how Southwest Recovery Services helps companies protect revenue, accelerate collections, and maintain compliance — on contingency.

Book a 30-minute discovery call →

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